ESG **58/100** AVERAGE

EQUITY NOTE · WIND POWER EQUIPMENT · 30 OCTOBER 2026

Nordex

NDX1 GY · Xetra, Frankfurt · ISIN DE000A0D6554 · Onshore wind turbines and service

The turnaround is now visible in cash, not only in margins. At seven times 2026 EBITDA the shares still price Nordex as the loss-maker it was three years ago.

RATING

Buy

Target price	€47
Price (30/10/2026)	€37.74
Potential	+25%
P/E 2026E	15.7x

01 Investment thesis

We initiate on Nordex with a BUY rating and a target price of €47, 25% above the 30 October close of €37.74. On 15 October Nordex reported a Q3 EBITDA margin of 12.7% and raised its 2026 margin guidance from 8-11% to 11.5-12.5%. The shares jumped 12% on the day, then gave back most of the gain in a sector sell-off. They now trade at 7.0x our 2026 EBITDA, against 10.4x for Vestas, its closest listed peer.

Three reasons

- **The margin gain is backed by cash.** Q3 free cash flow was €379m and cash reached €2.33bn. Nordex has moved from a 4.3% negative EBITDA margin in 2022 to the top of its 10-12% medium-term range.

- **Visibility is high.** The order book was a record €18.4bn at the end of June, up 29% on a year earlier. Order intake rose 16% to 7.7 GW in the first nine months, with prices stable at €0.93m per MW.
- **The price assumes the margin will not last.** Even in our base case, where the margin falls back to 11% from 2029, the DCF gives €49. The current price implies a discount rate of 11.7%, against our WACC of 9.0%.

> WHAT WOULD MAKE US WRONG
>
> Wind turbine makers have a long record of margin collapses: Nordex lost money every year from 2020 to 2023. Part of its cash comes from customer down-payments, which leave if orders slow. A margin back at 8.5% and weak growth, our bear case, gives €32, 16% below the price.

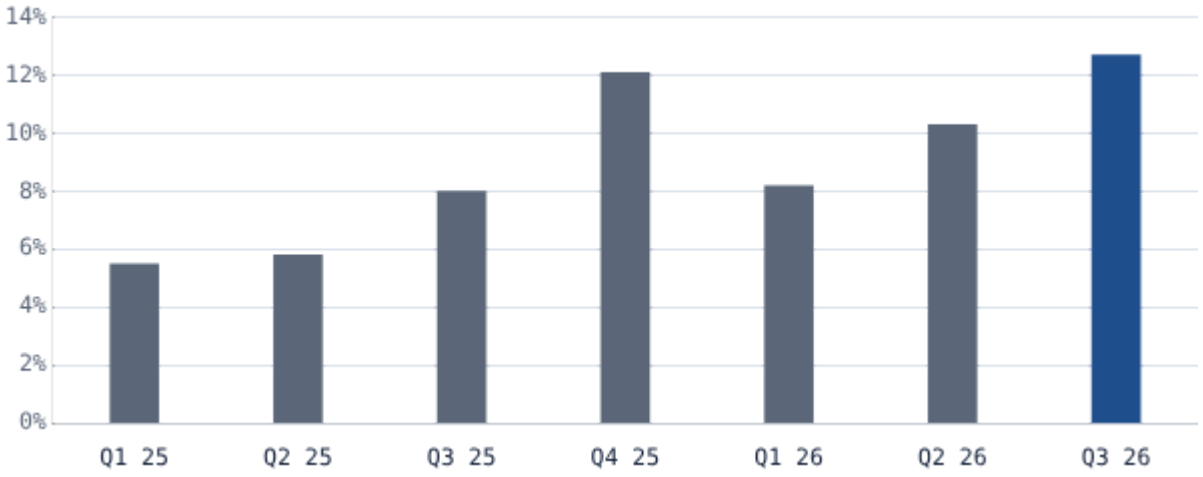
INDICATOR	VALUE	BASIS
P/E	15.7x	2026E EPS €2.41
EV / EBITDA	7.0x	2026E EBITDA €1,021m
EV / EBITDA (last 12 months)	7.6x	EBITDA to September €939m
EV / Sales	0.82x	2026E revenue €8.65bn
Free cash flow yield	11.5%	FCF to September €1.03bn, helped by down-payments
Dividend yield	0%	No dividend paid

02 The surprise: a margin the market did not expect this year

Nordex published preliminary Q3 figures on 15 October, three weeks before its full report. Revenue rose 28% to about €2.19bn and EBITDA doubled to about €278m. According to Alphavalue, EBITDA was 15% above market expectations. Management credited better service margins and clean project execution, and said that project risks it had provisioned for did not materialise.

The new 2026 margin range of 11.5-12.5% compares with 8-11% before. Jefferies estimated that the midpoint implies a 12% upgrade to consensus 2026 EBITDA, and raised its target from €60 to €63. The shares rose 12.3% to €39.14 on 16 October. They fell back to €36.36 by 23 October and closed at €37.74 on 30 October, as the wider market turned against technology and energy-transition stocks.

Exhibit 1 **Quarterly EBITDA margin, Q1 2025 to Q3 2026**



Nordex quarterly releases. Q1 figures derived as H1 less Q2. Q3 2026 is preliminary and unaudited.

Q3 2026 (PRELIMINARY)	Q3 2026	Q3 2025	COMMENT
Revenue (€m)	**2,187**	**1,706**	**+28%**
EBITDA (€m)	278	136	About 15% above consensus
EBITDA margin	12.7%	8.0%	Highest in the series
Free cash flow (€m)	379	149	Cash €2,327m at 30 September
Order intake (MW)	2,810	2,170	+29.5%; Türkiye over 900 MW
2026 EBITDA margin guidance	11.5-12.5%	8-11%	Sales guidance €8.2-9.0bn kept

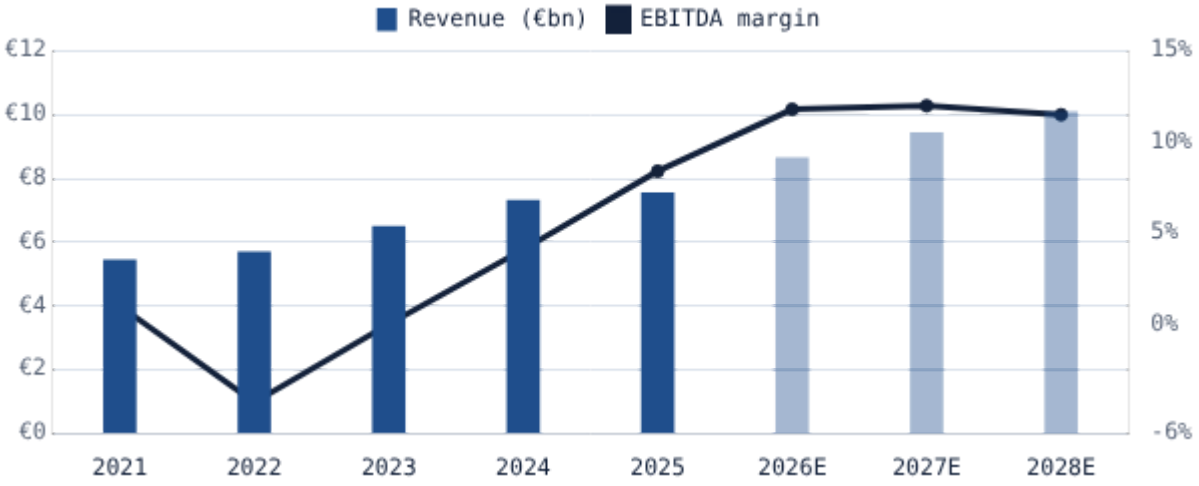
03 History and estimates

Nordex doubled in size with the 2016 merger with Acciona Windpower, which took 2016 revenue to €3.4bn at an 8.4% EBITDA margin. The years 2020 to 2023 were hard: fixed-price contracts met a surge in steel, logistics and energy costs, and the margin fell to −4.3% in 2022. Nordex survived on three capital increases in 2021 and 2022, mostly subscribed by Acciona, its largest shareholder. Since 2024, better-priced contracts and a stronger service business have lifted the margin each year. The workforce grew from about 8,600 in 2021 to 11,113 at the end of 2025.

€M, EXCEPT PER SHARE	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Revenue	**5,444**	**5,694**	**6,489**	**7,299**	**7,554**	**8,650**	**9,428**	**10,088**
Growth	+17.1%	+4.6%	+14.0%	+12.5%	+3.5%	+14.5%	+9.0%	+7.0%
EBITDA	53	−244	2	296	631	1,021	1,131	1,160
EBITDA margin	1.0%	−4.3%	0.0%	4.1%	8.4%	11.8%	12.0%	11.5%
Net income	−230	−498	−303	9	274	570	645	664
EPS (€)	−1.68	−2.71	−1.33	0.04	1.13	2.41	2.73	2.81
Free cash flow (company)	−25	−514	20	271	863	n/a	n/a	n/a
Net cash, year-end	424	244	631	848	1,625	2,240	n/a	n/a

A = reported (Nordex annual releases, StockAnalysis for EPS), E = Puccetti Capital Research estimate. 2026E net cash before lease liabilities of about €215m. No dividend over the period.

Exhibit 2 **Revenue (€bn) and EBITDA margin**



Key events and investments

- **2016:** merger with Acciona Windpower; revenue €3.4bn, margin 8.4%.
- **2021:** €586m capital increase, including Acciona's contribution in kind; 6.7 GW installed.
- **2022:** two more equity raises (€351m) as the margin turns negative.
- **2023:** shareholder loan converted into equity; 7.3 GW installed, EBITDA back to break-even.
- **2025:** record 10.2 GW of orders; medium-term margin target raised to 10-12%.
- **2026:** first order in New Zealand (192 MW); capex kept near €200m.

04 Cash flow and balance sheet

€M	2023A	2024A	2025A
Operating cash flow	161	430	1,016
Capex	−133	−164	−172
Free cash flow	**28**	**266**	**844**
Depreciation & amortisation	150	146	142
Working capital ratio (year-end)	n/a	−9.1%	−12.4%
Equity ratio	n/a	17.7%	19.0%

Free cash flow went from almost nothing in 2023 to €844m in 2025, as reported by StockAnalysis (the company's own definition gives €863m). Nordex needs little capital: capex is about 2.3% of sales. Its working capital is negative because customers pay large deposits before turbines are delivered.

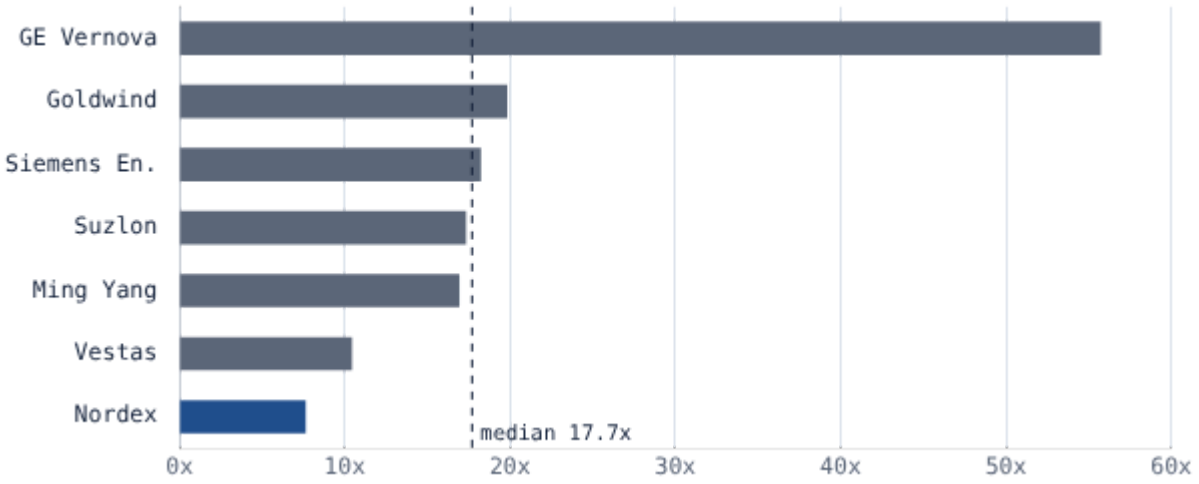
This is the main caveat on the balance sheet. Of about €2.0bn of net cash at the end of September (our estimate: cash of €2,327m less financial debt of about €287m), a large part is customer money. Management guides for a working capital ratio below −9%, against −12.4% at end-2025, so we model a cash outflow of 1.5% of sales in 2027. The equity ratio is still low at about 20%.

05 Trading comparables

COMPANY	COUNTRY	EV/EBITDA	P/E (FWD)	EV/SALES	DATE
Nordex	**Germany**	**7.6x**	**15.7x**	**0.84x**	**30/10**
Vestas	Denmark	10.4x	17.2x	1.20x	20/10
Siemens Energy	Germany	18.2x	20.4x	2.24x	23/10
GE Vernova	United States	55.7x	41.6x	5.29x	27/10
Goldwind	China	19.8x	21.2x	1.70x	Oct.
Suzlon	India	17.3x	20.7x	3.04x	13/10
Ming Yang	China	16.9x	12.6x	0.89x	28/09
Median (peers)		**17.7x**	**20.5x**	**1.97x**	

StockAnalysis statistics pages, last-twelve-month EBITDA and sales, consensus forward P/E. Nordex: EV €7.1bn on last-twelve-month EBITDA to September (€939m) and sales (€8.49bn); P/E on our 2026E EPS.

Exhibit 3 **EV/EBITDA, Nordex against peers**



Nordex is the cheapest company in the group on every measure. Part of the gap is fair. Siemens Energy and GE Vernova earn most of their profit from gas turbines and grid equipment, where demand from data centres is very strong. Goldwind, Ming Yang and Suzlon sell mainly in protected home markets.

We therefore centre the peer method on Vestas, the only listed Western pure wind company: 10.4x EBITDA gives €49 per share and 17.2× 2026E earnings gives €41.5. The peer lower quartile (17.0x EBITDA) would give €75 and the peer median P/E (20.5x) €50; we use these only as the top of the range.

06 DCF: Base, Bull and Bear

PARAMETER	VALUE
Risk-free rate (German 10-year Bund)	3.35%
Equity risk premium	5.50%
Beta (5-year 1.12, Blume-adjusted)	1.08
Cost of equity	9.3%
Cost of debt after tax (5.0% pre-tax)	3.5%
Weights equity / debt (market)	94.7% / 5.3%
WACC	**9.0%**
Tax rate (25% to 2029 with tax losses, then)	30%
D&A / capex / working capital	1.8% / 2.3% / −9% of sales

SCENARIO	GROWTH 2027-30	MARGIN FROM 2029	G	VALUE
Bear	2-3%	8.5%	1.5%	€31.6
Base	**4-9%**	**11.0%**	**2.0%**	**€48.9**
Bull	6-11%	13.0%	2.5%	€66.1

The model runs ten years, from 2027 to 2036, with mid-year discounting. In the base case revenue grows 9% in 2027, in line with consensus, then slows to 2% by 2036. The margin is 12% in 2027 and falls to 11% from 2029, the middle of management's 10-12% range: we do not assume the peak lasts. Enterprise value is €9.58bn, 50% from the terminal value. Adding net cash of about €2.0bn at end-2026, after leases, gives equity of €11.6bn, or €48.9 per share. The implied exit multiple is 8.1x EBITDA, below Vestas today. Weighting the scenarios 25/50/25 gives the same €48.9.

Exhibit 4 **Sensitivity: value per share (€) by WACC and terminal growth**

WACC \ G	1.0%	1.5%	2.0%	2.5%	3.0%
7.0%	58.5	61.4	64.9	69.2	74.6
8.0%	51.3	53.3	55.6	58.3	61.6
9.0%	46.0	47.4	**48.9**	50.8	52.9
10.0%	41.8	42.8	44.0	45.3	46.7
11.0%	38.5	39.3	40.1	41.0	42.1

The current price of €37.74 is only reached with a WACC of about 11.7% at 2% growth, or with our bear-case margins.

07 Target price and recommendation

Exhibit 5 **Valuation range by method (€ per share)**



Bars: low to high. Dot: central value. Dashed line: price €37.74. Solid line: target €47.

METHOD	CENTRAL	WEIGHT	LOW	HIGH	POTENTIAL
DCF (base)	€48.9	60%	€31.6	€66.1	+30%
Peers EV/EBITDA (Vestas to peer lower quartile)	€49.0	20%	€49.0	€75.3	+30%
Peers P/E (Vestas to median)	€41.5	20%	€41.5	€49.6	+10%
Dividend model (memo)	*n/a*	*0%*	*n/a*	*n/a*	*n/a*
Target price (weighted, rounded)	**€47**	**100%**			**+25%**

The weighted value is €47.5, which we round down to €47. A dividend model cannot be used, as Nordex pays no dividend. All three methods point above the current price, but the P/E method gives the smallest gap, because Vestas itself trades on a modest 17x forward earnings.

> RECOMMENDATION · BUY · TARGET €47
>
> Our target is close to, but slightly below, the consensus: the 15 analysts tracked by StockAnalysis have an average target of €50.5 and a Buy rating. The gap is our margin assumption. Brokers tend to keep 12% or more; we bring it back to 11% from 2029 because the industry has never held a peak margin for long. We would turn neutral above €45 without a further rise in estimates, or if orders fell below 2 GW a quarter.

08 Risks and catalysts

Downside risks to our view

- **Margin cycle.** Each point of EBITDA margin from 2029 is worth about €4 per share in our model.
- **Down-payments.** A slowdown in orders would reverse the negative working capital and drain cash.
- **Policy.** US tariffs and permitting rules, and German auction design, drive demand. On 24 October a broker note on US policy weighed on European wind stocks.
- **Competition and quality.** Chinese makers are entering Europe at lower prices; turbine failures, such as a collapse in Oklahoma in 2025, carry warranty costs.
- **ESG.** Our ESG score is 58/100 (Average): solid public ratings (MSCI BBB, CDP B, Sustainalytics medium risk) less five points for turbine safety incidents.

Catalysts

- **Full Q3 2026 report, 5 November 2026:** net income, order book and working capital.
- **Q4 order intake in early January** and FY2026 results in late February 2027, with the 2027 guidance.
- **Acciona's stake:** any sale or increase by the largest shareholder would move the shares.

Method and sources. Reported figures from Nordex releases and StockAnalysis; Q3 2026 figures are preliminary. Estimates and net cash at 30 September are Puccetti Capital Research estimates. Peer data from StockAnalysis at the dates shown, not adjusted for accounting differences. Prices: Xetra close of 30 October 2026 via MarketScreener.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Nordex. Not investment advice.

1. Preliminary Q3 2026 · market reaction · analyst comments, price 30/10 · Q3 order intake
2. H1 2026 · FY2025 · FY2023 · FY2022 · FY2021 · FY2016
3. NDX1 statistics · financials · cash flow · forecast · Bund yield
4. Peers: Vestas · Siemens Energy · GE Vernova · Goldwind · Suzlon · Ming Yang
5. ESG: Nordex ESG ratings · sustainability facts 2025 · turbine collapse, 2025